SL. No.2

NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH
COURT HALL NO: II

Special Bench

Hearing Through: VC and Physical (Hybrid) Mode

CORAM: SHRI. MOHAN PRASAD TIWARI– HON'BLE MEMBER (J)
CORAM: SHRI. SANJAY PURI - HON'BLE MEMBER (T)

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, HYDERABAD BENCH, HELD ON 13.06.2025 at 12:00 PM

TRANSFER PETITION NO.	
COMPANY PETITION/APPLICATION NO.	**CA (CAA) No.26/230/2025**
NAME OF THE COMPANY	**Softnautics INC (Transferor Co.1) and Softnautics Pvt Ltd (Transferor Co.2) and Moschip Technologies Limited (Transferee Co.)**
NAME OF THE PETITIONER(S)	
NAME OF THE RESPONDENT(S)	
UNDER SECTION	**230 of Companies, Act**

ORDER

Orders pronounced, recorded vide separate sheets. In the result, CA (CAA) No.26/230/2025 is allowed.

Sd/-
MEMBER (T)

Sd/-
MEMBER (J)

Apoorva

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH -II, HYDERABAD

CA (CAA) No.26/230/HDB/2025

In the matter of Section 230 to 232 of the Companies Act, 2013

Scheme of Amalgamation

of

Softnautics Inc.
("Non-Applicant/Transferor Company-1")

A n d

Softnautics Private Limited
("Transferor Company-2")

With

Moschip Technologies Limited
("Transferee Company")
And

Their respective Shareholders and Creditors

M/s.Softnautics Inc.,
(A Company incorporated under
the provisions of California Corporations Code,
Entity No.3924375 and Employer Identification
Number:81-3297440 in California, United
States of America, with principal address
at 4699, Old Ironside Dr.Suite 278, Santa Clara,
CA 95054.

…Non-Applicant/Transferor Company-1

M/s.Softnautics Private Limited,
Represented by its Director Mr.Suresh Bachalakura,
having its registered Office at 7th Floor,
My Home Twitza, Plot No.30/A,
Sy.No.83/1, Madhapur,
Hyderabad, Shaikpet,
Telangana, India – 500 081.

...First Applicant/Transferor Company-2

M/s.Moschip Techologies Limited,
Represented by its Company Secretary
Mr.Suresh Bachalakura,
having its registered Office at 7th Floor,
My Home Twitza, Plot No.30/A,

Sy.No.83/1, TSIIC Hyderabad Knowledge City.
Raidurg, Panmaktha, Rangareddi,
Hyderabad – 500 08,
Telangana, Hyderabad.

...Second Applicant/Transferee Company

A n d

Their Respective Shareholders and Creditors

Date of Order:13.06.2025

Coram:

Sri Mohan Prasad Tiwari, Hon'ble Member (Judicial)
Sri Sanjay Puri, Hon'ble Member (Technical)

Counsel present:

For the Applicants : Mr. M.Vijaya Kumar, Ld. PCS

[P E R : B E N C H]

O R D E R

1) This application has been filed under Section 230 to 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangement and Amalgamation) Rules, 2016 (hereinafter referred to as "the Act, 2013"), read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 by M/s Softnautics Private Limited, First Applicant (hereinafter referred to as Transferor Company-2) and M/s.Moschip Technologies Limited, Second Applicant (hereinafter referred to as Transferee Company) with effect from the Appointed Date. The Transferor Company-2 and Transferee Company are herein collectively referred to as the **"Applicant Companies**" and severally as **"First Applicant Company"** and **"Second Applicant Company".**

2) This Joint Application has been filed by the Applicant Companies under Section 230 to 232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013 praying for the following reliefs:

   a) To dispense with the requirement of holding the meeting of the equity shareholders of the First Applicant/Transferor Company-2, since it is

an indirect wholly owned subsidiary of the Second Applicant/ Transferee Company (i.e. 9,999 (99,99%) equity shares are held by the Non-Applicant Transferor Company-1 and 01 (0.01%) equity share is held by the Second Applicant Transferee Company, where the Non-Applicant Transferor Company-1 is a wholly owned subsidiary of the Second Applicant/Transferee Company), who have given their consent Affidavits to the Scheme of Amalgamation.

b) To dispense with the requirement of holding the meeting of the Unsecured Creditors of the First Applicant/Transferor Company-2 since they have given their consent Affidavits to the Scheme of Amalgamation.

c) To dispense with the meeting of the Shareholders, Secured Creditors and Unsecured Creditors of the Second Applicant/Transferee Company for the purpose of considering the proposed Scheme of Amalgamation, as the Non-Applicant/Transferor Company-1 is a direct wholly owned subsidiary and First Applicant/Transferor Company-2 is an indirect wholly owned subsidiary of the Second Applicant/Transferee Company.

d) Order notice of the Application to be served on the Central Government i.e., Regional Director, South East Region, Ministry of Corporate Affairs, Registrar of Companies of Telangana, Official Liquidator for the State of Telangana and Income Tax Authorities, RBI, Stock Exchanges, intimating the Scheme of Amalgamation.

e) Pass such other order(s) as this Hon'ble NCLT may deem fit and proper in the circumstances of the case.

3) **Details of the Applicant No.1/Transferor Company :**

a) **M/s Softnautics Private Limited ("Transferor Company-2")** was incorporated as a Private Limited Company on 02.09.2016 vide CIN: U72200GJ2016PTC093574 in accordance with the provisions of the Companies Act, 2013 and then converted into an LLP on 25.01.2018 viz., Softnautics LLP under the LLPIN: AAL-8405. Thereafter, Softnautics LLP had changed its registered office from the State of Gujarat to the State

of Telangana on 27.02.2025 on obtaining necessary approvals of Partners and Designated Partners on 09.01.2025 and Certificate of Registration of notice of change of registered office on 26.02.2025 from the Registrar of Companies, Telangana at Hyderabad. Again on 04.04.2025, Softnautics LLP was converted into Private Limited Company viz., Softnautics Private Limited vide CIN: U62013TS2025FTC196543 & PAN: ABPCS8069Q.

b) The Registered Office of the Transferor Company is situated at 7th Floor, My Home Twitza, Plot No.30/A, Sy. No.83/1, Madhapur, Hyderabad, Shaikpet, Telangana, India, 500081.
(Copy of the Certificate of Incorporation is at "Annexed A1" of the Application).

c) **The main objects of the Transferor Company-2 are as follows** :

1. To take over of all the assets, liabilities, work experience certificates, government or nongovernment registrations or licenses of M/s Softnautics LLP, a Limited Liability Partnership (LLP), by virtue of conversion of LLP to private limited company under provisions of Part I of Chapter XXI of the Companies Act, 2013.

2. To carry on, in or outside India, the business of developing of software, testing tools/routines, verification and validation tools/routines, developing of VLSI and developing of such other products and provide services to assist business undertakings in their operations and functioning through the use of technology and providing consultation services relating to the same.
(Copy of the Memorandum of Association and Articles of Association of the Transferor Company-2 is at "Annexure A2" of the Application).

d) The authorized, issued, subscribed and paid-up share capital of the Transferor Company-2 as on 04.04.2025 is as follows:

Share Capital	Amount (Rs.)
Authorized Capital	

1,00,000 (one lakh only) Equity Shares of Rs.10/- (Rupees ten only) each	10,00,000
Total	**10,00,000**
Issued, Subscribed and Paid-up Capital	
10,000 (Ten Thousand only) fully paid-up Equity Shares of Rs.10/- (Rupees Ten only) each	1,00,000
Total	**1,00,000**

Subsequent to 04.04.2025, there is no change in the authorized, issued, subscribed and paid-up share capital of the Transferor Company-2.

(Copies of the Audited Financial Statements as on 31.03.2024 Company (Softnautics LLP as on the specified dates) and Provisional Financial Statements as on 04.04.2025 of the Transferor Company-2 are at "Annexure A3" & "Annexure A4" of the Application).

e) The Transferor Company-2 is an indirect wholly owned subsidiary of the Transferee Company, i.e., 9,999 (99.99%) equity shares are held by the Non-Applicant/Transferor Company-1 and 01 (0.01%) equity share is held by the Second Applicant/Transferee Company, where the Non-Applicant/Transferor Company-1 is a wholly owned subsidiary of the Second Applicant/Transferee Company).

4) **<u>Details of the Applicant No.2 (Transferee Company)</u> :**

a) **M/s MosChip Technologies Limited ("Transferee Company"),** was originally incorporated on 27.07.1999 under the Companies Act, 1956, under the name "NetMosTechnology India Private Limited" as a Private Company limited by shares, with the Registrar of Companies, Andhra Pradesh, Hyderabad (now the State of Telangana by virtue of A.P. State Re-organization Act, 2014). Thereafter converted from Private Company to Public Company under Section 44 of the Companies Act, 1956, under the name "MosChip Semiconductor Technology Limited". Further the name of the Company was changed to "MosChip Technologies Limited" vide Certificate of Incorporation issued by the Registrar of Companies,

Hyderabad, on 05.03.2019 vide CIN: L31909TG1999PLC032184 and PAN: AACCM-3938L.

b) The Registered Office of the Transferee Company is situated at at 7th Floor, My Home Twitza, Plot No.30/A, Sy.No.83/1, TSIIC Hyderabad Knowledge City, Raidurg, Panmaktha, Rangareddi, Hyderabad, Telangana, India, 500081.
(Copies of the Certificate of Incorporation etc. are at "Annexure A5" of the Application).

c) **The main objects of the Transferee Company are as follows** :

1) To carry on the business of and to render consultancy, training and professional services in the area of Information technology and software development, to develop programmes and systems, to undertake turnkey software projects and operation research to offer complete hardware and software solutions and technical services and to subject the same to commercial exploitation, export, import, and to act as dealers and authorized representatives of the same.

2) To carry out researches, investigations and experimental work of every description in relation to the electrical, electronic and telecommunication industry, to act as consultants and advisers, or provide consultation services, in all aspects of automation, including computerization or any others, to Government, statutory or semi-government organization, business, commerce and industry, or any other organization of whatever nature, in all their branches, activities, operations or projects.

3) To undertake the designing, development and programming of systems and application software either for its own use or for sale in India or abroad and to design and develop such systems and application software for or on behalf of manufacturers, owners and users of computer systems and analogue/digital electronic/optical/laser photographic equipment and to provide design services of ASIC, Embedded Technologies, Design automation including architecture development, RTL

development synthesis, Mixed signal design, Technology Migration Retargeting, Logic design, Logic verification, Circuit design, Physical design, Gate Array/standard cell implementations Physical verifications, Hardware design, ATM, Embedded operating systems, Device Drives, DSP Hardware network protocols, Routing, Frame relays, High speed Bus design, Network management and EDA methodologies, Custom tool and CUI development, Tool customization, Frame works, Data and code conversions in India or elsewhere in the world and to buy, sell, import and export, deal, convert and exploit the same on commercial lines or otherwise in respect of the same.

4) To carry on the business of and to provide application and development in the area of Internet and e-commerce and to offer web-based solutions, to publish multimedia websites for companies, corporations, institutions and to create design services for web site, internet business solutions, intranet, extranet, and other information over internet.

5) To set up and run electronic data processing centers and to carry on the business of data processing, word processing, software development, programming and consultancy, system For studies, management consultancy, techno-economic feasibility studies of project, design and development of management information systems, technical analysis of data, data storage and retrieval services and services of all kinds and description in connection with commerce, finance, accounts, medicine, engineering, communication and other technological fields.

6) To carry on the business of manufacturers, developers, buyers, sellers, importers, exporters, agents, job-workers, assemblers and dealers of Metal Oxide Semiconductor Chips, Chips of Integrated Circuit nature and all types of computer and communication systems including microcomputers, macro computers, workstations, software and hardware of all descriptions, peripherals and accessories, parts and consumables including mother boards. VDUs, LCDs and such other products or things which may be considered either as an integral part of a computer system or as an optional attachment or supplement thereto and to undertake

turnkey projects and operations, research, to offer complete solutions and technical services including data transmission, date processing devices whether present or future and to subject the same to commercial exploitation either for its own use or for sale in India or elsewhere in the world and to execute and install thereof the same whether by the company or on behalf of manufactures, owners and users.

(Copy of the Memorandum of Association and Articles of Association of the Transferee Company is at "Annexure A6" of the Application).

d) **The Authorized, Issued, Subscribed and Paid-up Share Capital of the Transferee Company as on 31st December, 2024 is as follows**:

Share Capital	**Amount in Rs.**
Authorized Capital	
28,27,55,000 (Twenty Eight Crore Twenty Seven Lakh Fifty Five Thousand only) Equity Shares of Rs.2/- (Rupees Two only) each	56,55,10,000
T O T A L	**56,55,10,000**
Issued, Subscribed Capital and Paid Up Capital	
19,08,88,926 (Nineteen Crore Eight Lakhs Eighty Eight Thousand Nine Hundred and Twenty Six only) fully paid Equity Shares of Rs.2/- (Rupees two only)	38,17,77,852
T O T A L	**38,17,77,852**

Subsequent to the above date, the Issued, Subscribed and Paid-up Capital of the Transferee Company has been increased to Rs.38,21,56,584/- divided into 19,10,78,292 Equity Shares of Rs.02/- each fully paid up.

(Copies of the Audited Financial Statements as on 31.03.2024 and Provisional Financial Statements as on 31.12.2024 of the Transferee Company are at "Annexure A7" & "Annexure A8" of the Application).

e) The Transferor Company-1 is a wholly owned subsidiary of the Transferee Company and the Transferor Company-2 is an indirect wholly-owned subsidiary of the Transferee Company, i.e. 9,999 (99.99%) equity shares are held by the Transferor Company-1 and 01 (0.01%) equity share is held by the Transferee Company, where the Transferor Company-1 is a wholly owned subsidiary of the Transferee Company). The equity shares of the Transferee Company are listed and traded on the BSE Limited

("BSE") [Security Code: 532407] and National Stock Exchange of India Limited ("NSE") [Scrip ID: MOSCHIP].

5) **Jurisdiction of the Bench & Limitation :**

The registered office of both the Applicant Companies are situated in the state of Telangana. Hence, the subject matter of this Application is within the jurisdiction of this Tribunal. It is also submitted that the present Application is filed under Section 230 -232 read with Section 234 of the Companies Act, 2013 pursuant to the Board Resolutions passed by the Board of Directors of the Applicant Companies at their respective meetings held on 08.04.2025 and hence the present application is within the Limitation.

6) **Facts of the Case:**

A. The Board of Directors of the respective Applicant Companies at their respective meetings held on 08.04.2025 have resolved to amalgamate the Transferor Company-1 and the Transferor Company-2 with the Transferee Company pursuant to a Scheme of Amalgamation of Softnautics Inc. (Transferor Company-1) and Softnautics Private Limited (Transferor Company-2) with Moschip Technologies Limited (Transferee Company) and their respective Shareholders and Creditors under Sections 230 to 232 read with Section 234 of the Companies Act, 2013 and all other applicable provisions of the said Act and rules made thereunder.

B. The said Scheme of Amalgamation of Softnautics Inc. (Transferor Company-1) and Softnautics Private Limited (Transferor Company-2) with Moschip Technologies Limited (Transferee Company) and their respective Shareholders and Creditors was approved by the Board of Directors of the Applicant Companies with the following objectives:

1) The Transferor Company-1 is a direct wholly owned subsidiary of the Transferee Company and engaged in the similar nature of business and the Transferor Company-2 is an indirect wholly owned subsidiary of the Transferee Company. In order to consolidate the similar nature of business at one place and effectively manage the Transferor Companies

and Transferee Company as a single entity, which will provide several benefits including streamlined group structure by reducing the number of legal entities, reducing the multiplicity of legal and regulatory compliances, rationalizing costs, it is intended that the Transferor Companies be amalgamated with the Transferee Company.

2) The independent operations of the Transferor Companies and the Transferee Company leads to incurrence of significant costs and the amalgamation would enable economies of scale by attaining critical mass and achieving cost saving. The amalgamation will thus eliminate a multi-layered structure and reduce managerial overlaps, which are necessarily involved in running multiple entities and also prevent cost duplication that can erode financial efficiencies of holding structure and the resultant operations would be substantially cost-efficient. This Scheme would result in simplified corporate structure of the Transferee Company and its businesses, there by leading to more efficient utilization of capital and creation of a consolidated base for the future growth of the Transferee Company.

3) The amalgamation will contribute in furthering and fulfilling the objectives and business strategies of all the companies thereby accelerating growth, expansion and development of the respective businesses through the Transferee Company. The amalgamation will thus enable further expansion of the Transferee Company and provide a strong and focused base to undertake the business more advantageously. Further, this amalgamation would bring concentrated management focus, integration, streamlining of the management structure, seamless implementation of policy changes and shall also help enhance the efficiency and control of the Transferor Companies and the Transferee Company.

4) The synergies created by the Scheme would increase operational efficiency and integrate business functions.

5) This Scheme provides for the amalgamation of the Transferor Companies with the Transferee Company and the consequent treatment

of assets and liabilities of respective Companies in the manner provided for in the Scheme.

6) The proposed amalgamation will strengthen the 'MosChip' brand leading to a stronger market presence providing customers with a seamless experience, and removing any other brand perception/distinction in the customers mind, and provide greater integration and flexibility to the Transferee Company and strengthen its position in the industry, in terms of the asset base, revenues, product and service range.

7) The other benefits of the proposed amalgamation include:

   a) Optimum and efficient utilization and rationalization of capital, resources, assets and facilities.
   b) Enhancement of competitive strengths including financial resources.
   c) Obtaining synergy benefits.
   d) Better management and focus on growing the businesses.

8) In view of the above, it is considered desirable and expedient to amalgamate the Transferor Companies with the Transferee Company in accordance with this Scheme, pursuant to Sections 230 to 232 of the Companies Act, 2013 read with applicable Rules.

(C). **Scope of the Scheme**:

It is submitted that the Scheme of Amalgamation is presented pursuant to the provisions of Sections 230 to 232 read with Section 234 and other applicable provisions of the Companies Act, 2013 and the rules made thereunder (to the extent applicable) for the Amalgamation of Softnautics Inc. (Transferor Company-1) and Softnautics Private Limited (Transferor Company-2) with Moschip Technologies Limited (Transferee Company). The Scheme (as defined hereinafter) also provides for various other matters consequential to, or otherwise integrally connected with the above, as more specifically stated hereinafter. The scope of the scheme as submitted is as under:

1) Amalgamation of the Transferor Company-1 and the Transferor Company-2 with the Transferee Company.

2) Dissolution of the Transferor Company-1 and the Transferor Company-2 without Winding up.

3) The transfer of the Transferor Company-1 and the Transferor Company-2 will be on a going concern basis.

4) It is submitted that this Scheme of Amalgamation has been drawn up to comply with the conditions as specified under Section 2(1B) of Income Tax Act, 1961, such that:

i. All the properties of Transferor Company-1 and the Transferor Company-2, immediately before the amalgamation, become the properties of the Transferee Company by virtue of amalgamation.

ii. All the liabilities of the Transferor Company-1 and the Transferor Company-2, immediately before the amalgamation, become the liabilities of the Transferee Company by virtue of amalgamation.

5) **Parts of the scheme:**

It is submitted that the Scheme of Amalgamation is divided into the following parts:

(i) **PART I -** deals with the definitions and interpretations.

(ii) **PART II -** deals with the Share Capital of the Transferee Company and the Transferor Companies and date of taking effect & operative date of the Scheme.

(iii) **PART III -** deals with transfer and vesting of Undertakings *(as defined hereinafter)* of the Transferor Companies with the Transferee Company.

(iv) **Part IV -** deals with the cancellation of equity shares and increase in authorized capital of the Transferee Company.

(v) **Part V -** deals with Accounting Treatment adopted for the Scheme.

(vi) **Part VI -** deals with the procedures relating to the Transferor Company-1 under the Applicable Laws of California and

(vii) **Part VII -** deals with other provisions and conditions applicable to the Scheme.

D. Full details of some of the significant terms of the Scheme of Amalgamation are given in **(Page Nos.14 – 25 of the Application)** :

S.No.	P a r t i c u l a r s	Page Nos. in the Application
1	Appointed Date	**14**
2	Transfer and Vesting of undertakings	**14-17**
3	Legal Proceedings	**17**
4	Contracts, Deeds and other Instruments	**17-18**
5	Staff and Employees of the Transferor Companies	**18-19**
6	Payment of Tax	**19**
7	Bank Operation	**20**
8	Accounting Treatment – Accounting Treatment in the books of Transferee Company	**20-21**
9	Procedure relating to the Transferor Company-1 under the laws of California	**21**
10	Transactions between Appointed Date and effective date	**21-23**
11	Saving of concluded transactions	**23**
12	Dissolution of the Transferor Companies without winding up	**23**
13	Filing of Applications	**23**
14	Modifications/Amendments to the Scheme	**24-25**
15	Conditionality of Scheme	**25**

7) **<u>Board Resolutions of the respective Applicant Companies approving the Scheme of Amalgamation:</u>**

The Board of Directors of the respective Applicant Companies at their respective meetings held on 08.04.2023 (Softnautics Private Limited) and 08.04.2023 (Moschip Technologies Limited) approved the Scheme of Amalgamation of Softnautics Inc. (Transferor Company-1) and Softnautics

Private Limited (Transferor Company-2) with Moschip Technologies Limited (Transferee Company) and their respective Shareholders and Creditors.

(Certified true copies of the Board Resolutions passed by the Board of Directors of the Applicant Companies approving the Scheme of Amalgamation are at "Annexure A11" & "Annexure A12" of the Application.)

8) **Interest of Directors in the Proposed Scheme Of Amalgamation:**

It is submitted that the Board of Directors of the Applicant Companies have no material interest in the proposed Scheme of Amalgamation of Softnautics Inc. (Transferor Company-1) and Softnautics Private Limited (Transferor Company-2) with Moschip Technologies Limited (Transferee Company) and their respective Shareholders and Creditors except as shareholders of their respective companies in general.

9) **Intimation to the Stock Exchanges:**

It is further submitted that the First Applicant/Transferee Company is a Listed Company having its shares listed and traded on the BSE Limited ("BSE") and National Stock Exchange of India Limited ("NSE"). Since the present Scheme solely provides for amalgamation of the wholly owned subsidiaries with its Holding Company, no formal approval, is required from the Stock Exchanges or Securities and Exchange Board of India ('SEBI') for the Scheme, in terms of provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and SEBI Master Circular SEBI/HO/CFD/POD-2/P/CIR/2023/93 dated 20th June, 2023 and in terms of the SEBI Regulations, the present Scheme of Amalgamation is only required to be filed with BSE and NSEs for the purpose of disclosure and dissemination on their website. Accordingly, a copy of the Scheme along with all the related and necessary documents have been filed with BSE Limited and National Stock Exchange of India Limited for the purpose of disclosure and dissemination on their website.

(Copies of the acknowledgements of the BSE & NSE evidencing the proof of filing of the Scheme with the Stock Exchange are at "Annexure A13" and "Annexure A14" of the Application).

10) **Declaration by the Applicant Companies:**

a) No petition under Sections 241 or 242 of the Companies Act, 2013 has been filed against any of the Applicant Companies and there has been no material change in the affairs of any of the Applicant Companies, except for what was done in the normal course of business.

b) There are no proceedings pending under Sections 210 to 227 of Companies Act. 2013, against any of the Applicant Companies.

c) The Scheme of Amalgamation of Softnautics Inc. (Transferor Company-1) and Softnautics Private Limited (Transferor Company-2) with Moschip Technologies Limited (Transferee Company) and their respective Shareholders and Creditors does not have any adverse effect on any of the shareholders or creditors or other stakeholders of the respective Applicant Companies in any manner whatsoever.

11) **Shareholders of the Applicant Companies:**

a) It is submitted by the Applicant that the Transferor Company-2 is an indirect wholly owned subsidiary of the Transferee Company. It is submitted that the Transferor Company-2 has the following 02 (Two) equity shareholders as on 04.04.2025 and also as on date:

S.No.	Name of the Shareholder	Number of Shares	% of Shares
1.	Softnautics Inc.	9,999	99.99%
2.	Moschip Technologies Limited	1	0.01%
	T O T A L	**10,000**	**100%**

(A certificate issued by the Chartered Accountant, certifying the list of Equity Shareholders and the number of shares held in the Transferor Company-2 is at "Annexure A15'' of the Application).

b) It is submitted by the Applicant that the shareholders, being the beneficial owners of the entire share capital of the Transferor Company-2, have given their consent through an authorized representative by way of an affidavits to the Scheme, stating that they are aware of the Scheme of Amalgamation and that they do not have any objection to the proposed Scheme of Amalgamation of Softnautics Inc. (Transferor Company-1)

and Softnautics Private Limited (Transferor Company-2) with Moschip Technologies Limited (Transferee Company) and their respective Shareholders and Creditors.

(Consents given by the Equity Shareholders of the Transferor Company-2 are at "Annexure A16' of the Application).

c) The Transferee Company is the ultimate holding company of the Transferor Company-2.

d) It is further submitted that the equity shares of the Transferee Company are listed and traded on the BSE Limited ("BSE") [Security Code: 532407] and National Stock Exchange of India Limited ("NSE") [Scrip ID: MOSCHIP] and total shareholders/members in the Transferee Company as on 31.12.2024 are 2,41,018.

e) The following is the Shareholding Pattern of the Transferee Company as on 31.12.2024:

S.No.	Category of the Shareholder	Number of Shareholders	Total No.of Shares held	% of Shareholding
1.	Promoter & Promoter Group	2	8,50,43,942	44.55%
2.	Public	2,41,015	10,56,47,514	55.35%
3	Employee Trust	1	1,97,470	0.10
T O T A L		**2,41,018**	**19,08,88,926**	**100%**

(Certificate issued by the Chartered Accountant, certifying the shareholding pattern of the Transferee Company as on 31.12.2024 is at "Annexure A17" of the Application).

12) **<u>Creditors of the Applicant Companies:</u>**

(1) **<u>Transferor Company-2</u>:**

a) It is submitted by the Applicant that the Transferor Company-2 has 17 Unsecured Creditors amounting Rs.11,33,50,119/- (Eleven Crore Thirty Three Lakhs Fifty Thousand One Hundred and Nineteen only) as on 04.04.2025, out of which 4 Unsecured Creditors have given their consent affidavits to the Scheme of Amalgamation for the outstanding debt amounting to Rs.1,11,686,110/- which represents 98.53% of total outstanding, which is in compliance with Section 230(9) of Companies

Act 2013 for dispensation of the meeting of Unsecured Creditors of the Transferor Company-2.

(Consent Affidavits given by the Unsecured Creditors of the Transferor Company-2 are at "Annexure A18" of the Application).

b) It is submitted by the Applicant that the Transferor Company-2 has no Secured Creditors as on 04.04.2025.

(Certificate issued by the Chartered Accountant, certifying the list of Secured Creditors and Unsecured Creditors showing their respective amounts due to them by the Transferor Company-2 as on 04.04.2025 is at "Annexure A19" of the Application).

(2) **Transferee Company:**

(a) It is submitted by the Applicant that the Transferee Company has 01 (One only) Secured Creditor having outstanding amount of Rs.70,44,82,189/- (Seventy Crore Forty Four Lakhs Eighty Two Thousand One Hundred Eighty Nine only) as on 31.12.2024.

(b) It is submitted by the Applicant that the Transferee Company has 56 (Fifty Six only) Unsecured Creditors having outstanding amount of Rs.15,17,70,452/- (Rupees Fifteen Crore Seventeen Lakhs Seventy Thousand Four Hundred and Fifty Two only) as on 31.12.2024.

(Certificate issued by the Chartered Accountant, certifying the list of Secured Creditors and Unsecured Creditors showing their respective amounts due to them by the Transferee Company as on 31.12.2024 is at "Annexure A20" of the Application)

(Certificate to the effect that as per Regulation 9 of the Foreign Exchange Management (Cross Border Merger) Regulations, 2018, it shall be deemed to have prior approval of Reserve Bank as required under Rule 25A of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 is at "Annexure A21" of the Application).

13) **General Submissions for Dispensation of Shareholders, Secured and Unsecured creditors of the Transferee Company:**

a) As the proposed Scheme is for amalgamation of direct and indirect wholly owned subsidiaries with its holding company, no shares would be issued or allotted as consideration for the amalgamation; as such the proposed Scheme does not result in any dilution in shareholding of its shareholders including public shareholders and that the shareholding and

other rights of the members of the Transferee Company will remain unaffected since the transferee Company shall continue to subsist with no new shares being issued and with no change in the share capital structure.

b) It is submitted by the Applicant that the net worth of the Transferee Company is highly positive and that further all assets of the Transferor Company-1 and the Transferor Company-2 would be transferred to the Transferee Company pursuant to the Scheme becoming effective. The assets of the Transferee Company are sufficient to discharge its liabilities and the proposed Scheme of Amalgamation is not affecting the rights of the Transferee Company's shareholders or creditors and hence the Transferee Company may not be required to convene the meeting of its shareholders and Creditors for obtaining their consent for the Scheme.

c) The Applicant Companies have placed reliance on the orders in respect of Scheme of Merger pronounced by the Hon'ble NCLT Hyderabad Bench in CA(CAA)23/230/HDB/2022 of APDL Estates Limited with GOCL Corporation Limited, Hon'ble NCLT Mumbai Bench in C.A. (CAA) No.2629/MB/2019 of Ness Software Services Private Limited with Ness Technologies (India) Private Limited, Housing Development Finance Corporation Limited in CSA No.243 of 2017, Godrej Consumer Product Limited in CSA No.915 of 2017 (iii) Mahindra CIE Automotive Limited, in CSA No.899 of 2017 and (iv) Godrej Properties Limited in CSA No.1019 of 2017 where the facts of the matter are similar to that of the instant case and wherein this Authority had dispensed with the requirement of holding meeting of the shareholders and creditors of the Transferee Company therein.

d) Further, Reliance has been placed by the Applicant Companies on the orders of the Hon'ble NCLAT in the matter of **Patel Hydro Power Private Limited and Ors Vs Patel Engineering Limited** in (Company Appeal (AT) No 37 of 2021), wherein it was held as follows:

> *"12. To reiterate, we observed that the rights and liabilities of Secured and Unsecured Creditors were not getting affected in any manner by way of the proposed scheme as no new shares are being issued by the `Transferee Company' and no compromise is offered to any Secured and Unsecured*

Creditors of the `Transferee Company'. Therefore, NCLAT has of the considered view that when the `Transferor and Transferee Company' involve a Parent Company and a Wholly Owned Subsidiary the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors can be dispensed with as the facts of this case substantiate that the rights of the Equity Shareholders of the `Transferee Company' are not being affected. Therefore, NCLAT hold that obtaining 90% consent Affidavits from its unsecured Creditors is not required keeping in view the facts of the attendant case."

(Copy of the orders passed by the Hon'ble NCLAT in Patel Hydro Power Private Limited and Ors Vs Patel Engineering Limited is at "Annexure A22" of the Application).

14. It is argued by the learned counsel that in view of above, there is no requirement of convening meetings of shareholders and creditors of the Transferee Company and accordingly it may be dispensed with. The Transferee Company will be giving notices to all the Regulatory authorities (Income tax, Regional Director, Registrar of Companies). Upon the Scheme being sanctioned by the Tribunal under Section 232 of the Act becoming effective thereon, the Transferor Company -1 and Transferor Company-2 shall be dissolved without going through the process of winding up with effect from the Appointed Date or such other date, as may be fixed, by the Hon'ble National Company Law Tribunal, Hyderabad.

O R D E R

15. After hearing the Learned PCS for the Applicant Companies and after perusing the documents filed, we pass the following orders to:

a. Dispense with convening the meeting of the Equity Shareholders and the Secured Creditors of the Transferor Company -2.

b. Dispense with the convening of the meeting of the Shareholders, Secured and Unsecured Creditors of the Transferee Company.

c. Order notice of the Application to be served on the Central Government i.e., Regional Director, South East Region, Ministry of Corporate Affairs, Registrar of Companies of Telangana, Official Liquidator for the State of Telangana and Income Tax Authorities, RBI, Stock Exchanges, intimating the Scheme of Amalgamation.

d. Notwithstanding the above, when the Applicant Companies approach this Tribunal seeking approval of the Scheme, it would be open for any person who is interested in the Scheme of Amalgamation to put forth their contentions before this Tribunal.

e. Accordingly, the Company Application **CA(CAA) No.26/230/HDB/2025 is allowed and disposed of**.

Sd/-
(Sanjay Puri)
Member (Technical)

Sd/-
(Mohan Prasad Tiwari)
Member (Judicial)

Vinod